

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Case No.: 22-23

MARINE TRANSPORT LOGISTICS, INC

Complainant

vs.

CMA CGM S.A.

Respondent

EXCEPTIONS OF THE COMPLAINANT

It is respectfully being submitted that the Complainant, MTL, established that the Respondent, CMA, violated the Shipping Act predicated on the following principles. In *J.M. Altieri v. Puerto Rico Ports Authority*, the Commission stated: “A dispute as to liability for demurrage or as to the amount of it; or even a persistent and continuing shuffling of the accounts of importers might fall within section 17.” 7 F.M.C. 416, 420 (ALJ 1962). Additionally, the Commission stated: “If the action of respondent were one of a series of such occurrences, a *practice* might be spelled out that would invoke the coverage of section 17.” *Id.*

As will be pointed out below, CMA’s discovery violations and non-compliance with discovery related orders warrant a negative inference. CMA admitted to not producing key evidence that go to the heart of the claim, namely the nature of CMA’s practices relating to assessing demurrage/detention/storage charges. Additionally, CMA purposefully produced thousands of documents on the last day of discovery — contrary to their own promises to the Commission as well as contrary to ALJ Wirth’s orders —while knowing that as per the previous orders, discovery would not be extended further. Moreover, it is argued that in light of such

discovery related conduct by CMA, ALJ Hervey should have reopened discovery and should have granted MTL's motion for reconsideration.

Booking #NAM4887632, Container #TGBU5073710

On March 3, 2022, MTL advised CMA to reroute the subject container to the Port of Bremerhaven. (Cx. 1_CMA Bates #585).

Instead, without notice to MTL, the subject containers were diverted to the Port of Constanta against MTL's instructions to divert such to Bremerhaven, as CMA wrote to MTL on April 1, 2022: "The cargo has already been discharged in Constanta do you just want to pick cargo up there?" (Cx. 3_CMA Bates #579).

MTL replied on the same day: "Hello, no sorry, customer is insisting on Bremerhaven, thanks." (Cx. 4_CMA Bates #577).

This customer of MTL who insisted on the subject containers to be sent to Bremerhaven as originally instructed was Andrey Kodrianka. As Maria Bondarev from CIS Development (also MTL's client) testified: "Agents of Odessa asked all the containers to be delivered to Bremerhaven, the agents of Kodryanka." (Cx. 5_ p.17). This agent of Kodryanka was "Favoritplus." (*Id.* at p.24).

In the meantime, CMA has been contacting MTL's client to pay for demurrage at the Port of Constanta — even though MTL did not ask for any of the subject containers to be delivered there — before allowing the subject container to continue its journey to Bremerhaven as is evident by the following communications from CMA in April through July of 2022:

On April 14, 2022, CMA wrote to MTL's client's agent (Favoritplus) and said: "Dear Customer, POD for NAM4887632 is updated to Constanta. Pls advise when are you going to pick up the cargo. Demurrage and storage are increasing on a daily basis." (Cx. 6).

In CMA's response to the Complainant's 8th Proposed Finding of Fact ("CPFF"), they admit to not producing this email. (Docket Entry #59).

As Julia Privalova from MTL wrote to CMA on April 21, 2022: "Please help. Container is idling in Constanta port, but we didn't ask to deliver I there, we asked to deliver to BREMERHAVEN!!! Why nothing is being done?? Why is my customer being chased and asked to pay for storage/demurrage????? I need this to be resolved today, please." (Cx. 7_CMA Bates #557-558).

On May 6, 2022, an internal CMA email concerning this subject container and other containers of other customers reads as follows: "This is to inform that subject shipment is still idling in Constanta port. Pls urgently inform shipper and let him push cnee to pick up the cargo asap as demurrage and storage surcharges are increasing on a daily basis." (Cx. 8_CMA Bates #70989-70990).

On July 5, 2022, CMA (Oksana Muraya) continued to contact MTL's customer's agent (Favoritplus) for demurrage and storage that accumulated in the Port of Constanta: "We are planning to load container on Stadt Dresden on Jul.19 to Bremerhaven. Please advise if Cnee will be Favorit Plus or to be amended. Thanks to revert with payer and payment location of charges occurred in Constanta, i.e. storage and yard moves since without duly manifested charges container won't be loaded." (Cx. 9). In CMA's response to Complainant's 12th CPFF, they admit to not producing this email and try to explain this by making a blatantly false statement: "Answering further, the email was in MTL's possession but not included in MTL's production." CMA was provided a copy of this email via MTL's production of documents on February 1, 2024 at 8:59AM, when an email with a Dropbox link to supplemental responses was provided to all attorneys of record: Rebecca Fenneman, Kaya Massey, Eric Jeffrey, and Nick

Webb. The name of the document where this email was contained was entitled: “Emails involving Kodryanka’s agent Favoritplus and CMA.”

CMA never provided copies of any of the referenced invoices for Constanta. In an email dated February 11, 2024, CMA says: “Need to receive response at the earliest explaining why attached charges accrued in Europe were billed under US Agency and reason for such late billing (>1 year after being accrued). As info, Marine Transport Logistics is pursuing an FMC case against CMA related to shipment in 2022 that were diverted from Odessa due to the break out of war in Ukraine.” (Cx. 10_ page 1).

The attached invoice as to this subject container is dated February 5, 2024. *Id.* at 21. Notably, when looking at this invoice issued almost two years after the subject containers were held at Constanta, it says in the description: “Storage at transshipment ports.” *Id.* This invoice does not list the location of such ports or the periods of storage.

It appears that CMA never sent invoices for any demurrage, only emails trying to collect demurrage, as CMA says: “This might be part of the cargo diverted during the beginning of the Ukraine war when the massive amounts of cargo was diverted.” *Id.* at 4.

Demurrage continues to accumulate as CMA delays changing the consignee:

On July 8, 2022, MTL wrote to CMA as to the subject containers: “Multiple requests and reminders sent to CMA to change destination and consignee, but CMA first completely ignored the request so I had to ask Kiala for help. CMA’s customer service either ignores requests completely or replies with huge delays. These charges were all caused by CMA’s delays.” (Cx.11_ CMA Bates No. 495-496).

On July 11, 2022, Ms. Muraya from CMA wrote to Favoritplus: “We’ll fail to catch Stadt Dresden ETS Jul.19 without payment confirmation and confirmed CNEE Please revert with payer and payment location and let us know if Favorit Plus will stay CNEE in Bremerhaven.”

(Cx. 12). In CMA's response to Complainant's 18th CPFF, they admit to not producing this email.

It is being submitted that the above conduct by CMA is not "mere delay" as ALJ claims on page 30 of the Initial Decision.

CMA admits that they did not produce this email and try to explain this by again making a blatantly false statement: "Answering further, the email was in MTL's possession but not included in MTL's production." CMA was provided a copy of this email via MTL's production of documents on February 1, 2024 at 8:59AM, when an email with a Dropbox link to supplemental responses was provided to all attorneys of record: Rebecca Fenneman, Kaya Massey, Eric Jeffrey, and Nick Webb. The name of the document where this email was contained was entitled: "Emails involving Kodryanka's agent Favoritplus, CIS and MTL_3."

Here, we see that CMA continued to delay placing the subject containers to their ultimate destination of Bremerhaven as initially requested until they collect demurrage and storage charges for the Port of Constanta, without providing any invoices for such.

On July 14, 2022, Ms. Muraya wrote again to Favorit Plus stating that now the plan was to load the container on July 30, 2022 if the charges occurred in the Port of Constanta would be paid: "Please note that we are going to load below unit on GSL Susan 0BMHUS1MA 30.07.22. Please revert with payer and payment location of charges occurred in Constanta such as storage and yard move..." (Cx. 13_ CMA Bates #961).

For whatever reason when the ALJ mentions this exhibit in the finding of fact #64, she only quotes the discussion about whether FavoritPlus would remain the consignee but not what is quoted above, namely that CMA is not releasing the container and is trying to collect for demurrage that occurred in the Port of Constanta. This is a significant omission because MTL's

central theory is that the containers were idling in Constanta though no fault of MTL, yet CMA refused to move the containers further until demurrage was first collected.

When I asked to depose Ms. Muraya, CMA's attorneys told me that they could not locate her. I followed up on January 26, 2024, with my request for additional discovery noting that it is hard to believe that this email was the only document or communication available on CMA's efforts to collect for demurrage/storage at the Port of Constanta. (Cx. 14). CMA did not produce any additional documents directly on this point. I have requested in discovery copies of actual invoices for demurrage that were sent to MTL's customers, but such too was not produced. *Id.*

On July 18, 2022, MTL sent another reminder and complaint to CMA that the subject containers have not been released. (Cx. 15_CMA Bates #982-984)

On the same day, July 18, 2022, CMA's Oksana Muraya sent an internal email: "Dear US Team, Please check with Shipper a payer and payment location of charges occurred in Constanta such as storage and yard moves." She then adds: "Please note that CNEE address hasn't been updated for NAM4887632, container has been cut from loading list and rolled on Ambarli Aug. 07. We'll revert with updated charges of storage asap." (Cx. 16_CMA Bates #1117-1119).

Here, too, the ALJ omits from its finding of fact #66 and 67 in mentioning this email the above statement as to outstanding charges in Constanta: "Dear US Team, Please check with Shipper a payer and payment location of charges occurred in Constanta such as storage and yard moves."

Now we see that when MTL was writing to CMA as to the change in destination and consignee, such were delayed because CMA was running around trying to collect demurrage/detention occurred at the Port of Constanta, thereby accruing more charges. It does

not appear that ALJ considered this point as the above-quoted language is omitted from findings of fact #66-67.

There is no evidence that CMA ever advised MTL or any of its customers as to why none of the subject containers were promptly loaded onto a vessel in Constanta for its final destination to Bremerhaven. In fact, during the depositions of CMA, the witnesses were reluctant to admit that the subject containers were even present at the Port of Constanta. (Cx. 17).

I again go back to Cx. 8_CMA's Bates # 70989-70990, where one CMA unit (Anna Sorochan from CMA's Intermodal Department) is writing on May 6, 2022 to another with respect to 22 containers (including one of MTL's subject containers) and telling them to inform the shipper to push the consignee to pick up the cargo asap due to accumulation of demurrage and storage charges. It is reasonable to believe from this email that CMA has delayed to inform the shippers about these containers in order to collect demurrage charges. Why aren't the other clients of CMA picking up these containers that are idling in Constanta? It is reasonable to assume that just like MTL, they were not made aware that CMA would delay loading these containers at Constanta for its final destination and did not notify the shippers of such.

The evidence that CMA withheld requires a negative inference and shows that the only reason for not loading the containers at Constanta and then not releasing them in Bremerhaven was unpaid demurrage charges that CMA improperly assessed and tried to collect and not what CMA's brief in opposition claims (without any documentary support) was the reason: "Sorting through the huge number of containers, processing the many COD and COC requests and getting containers re-routed..."

There is absolutely no evidence of that, but instead —as noted above—there is evidence that was withheld which shows the only reason for not releasing these containers for months was trying to collect unauthorized demurrage charges.

The above practice applied to other shippers, not just MTL, as shown in CPFF 23, 24, 25, 26. As an example, one company wrote: “3 MONTHS AGO WE REQUESTED DESTINATIONS TO POTI... WHY STILL SITTING IN ROMANIA AND NOT CHANGED TO POTI?” (See Compl. Cx. 18, CMA Bates #66718).

Concerning the same containers the original consignee wrote: “Before the war in Ukraine, our company was the CNEE of these containers. The Shipper of these containers made corrections to change the recipient and port of destination, for their immediate redirection. At the moment, these containers are in the port of Constanta and there are no changes and forecasts for their redirection. Previously, we tried to leave these containers in Constanta for import to UA without redirecting to Georgia because they just stand there. But the Shipper of these containers said that according to the information of the CMA company of the American office, in this case we need to pay for demurrage and storage. For us, it is unacceptable (and there is no such possibility for the recipients of the cargo) to pay demurrage, since we are not to blame for the fact that the containers do not go to Georgia, but simply stay in the Port of Constanta.” (Cx. 19, CMA Bates #66849-66850).

The ALJ said: “Although MTL also relies on emails showing that other shippers expressed concern to CMA that their containers were idling in Constanta, Romania despite requests for a change in destination, MTL failed to provide sufficient detail regarding the circumstances surrounding the delay...” This is because — as detailed below— irrespective of the promise and orders to produce these documents, CMA produced such on the last day of

discovery when the previous orders said discovery would not be extended and no further motion could be filed.

There was no opportunity to follow up on this point with additional request for discovery because even though CMA promised to provide these documents on a rolling basis (See Docket Entry #47 at p. 2, footnote 2), they provided over 20,000 documents on the last and final date of discovery on April 16, 2024. In this footnote CMA says: “CMA will of course make these productions on a rolling basis in order to complete them as soon as possible.” Of course, this was not done. Even though they made this representation on January 23, 2024, they delayed production until April 16, 2023.

MTL’s motion for reconsideration or to reopen discovery

The following was argued to the ALJ. On October 30, 2023, the Commission, specifically *Commissioner VEKICH*, stated in connection to CMA’s misconduct on the above-captioned matter: “Although the ALJ did not impose sanctions against the Respondent, I believe doing so may have been warranted in this proceeding...Litigants before the Commission are entitled to discovery to prove their allegations...” (*See* Docket Entry #35 at p. 15-16).

It is being submitted that perhaps if such sanctions were imposed, MTL’s rights in these proceedings would not have been prejudiced as described below in support of MTL’s instant motion for reconsideration or reopening of discovery.

On January 31, 2024, the *Chief Administrative Law Judge* Erin M. WIRTH, noted in her Order on Motions to Compel: “No further motions may be filed.” (*See* Docket Entry #48, at p. 9).

CMA ignored this Order and filed their motion for reconsideration on February 14, 2016. Judge WIRTH issued her Decision as to such on February 27, 2024, where she stated in relation

to the 2022 complaints that CMA was required to produce to MTL: “This discovery should be provided as soon as it is available... No new discovery requests may be served” (*See* Docket Entry #52, at p. 2).

CMA ignored this Order too, especially the part that required CMA to produce this evidence “as soon as possible” and produced over 20,000 on the last and final date of discovery on April 16, 2024, knowing that MTL would not have enough time to serve any follow ups; therefore, I would respectfully argue that it was CMA who engaged in tactical “sandbagging” in this case, not MTL.

The Order on Respondent’s Motion to Strike (served on October 30, 2024) also says (with respect to the 20,000 plus documents that CMA served on MTL on the last day of discovery) that “MTL failed to move to extend the applicable deadlines...” I respectfully submit that in light of the aforementioned Orders by Judge WIRTH, any such motion would be in violation as the January 31, 2024 Order said: “No further motions may be filed”, and the February 27, 2024 Order indicated that there would not be any extensions to discovery.

There is a reason why these 20,000 plus documents were served on the last day of discovery on April 16, 2024 (as mentioned above in violation of the February 27, 2024 Order, where it was stated in relation to the 2022 complaints that CMA was required to produce to MTL: “This discovery should be provided as soon as it is available...), and in violation of CMA’s own promise to the Commission that these documents would be produced on a rolling basis. (*See* Docket Entry #47 at p. 2, footnote 2). As noted in the opening brief, from the documents that were able to be reviewed, some go directly to the elements that MTL is required to prove in this case to establish a violation of the Shipping Act.

As a result of the foregoing, it is respectfully being requested that discovery should be reopened to allow MTL to make follow up requests for documents in connection to these 20,000 plus documents that were produced on the last day of discovery in violation of the above-referenced Orders.

If discovery is not reopened, then it is respectfully being submitted that as requested in the opening brief, a negative inference must be taken against CMA and the instant motion for reconsideration should be granted as CMA was not prejudiced at all from the additional evidence and arguments (certainly they have not been prejudiced, not even remotely, to the extent that MTL has been prejudiced, given CMA's misconduct as delineated above), especially when there is a remedy available to allow CMA to file a sur-reply.

As is stated in the opposition to the motion to strike, There is absolutely no prejudice to CMA as these two exhibits at issue were in direct response to what CMA raised in their opposition and based on the documents previously provided and documents in CMA's possession. Furthermore, these documents (namely the profit concerning the two clients that MTL lost) could only be compiled and provided personally by Alla Solovyeva who had undergone major surgery on May 22nd with intensive treatment leading up to such. Medical proof of this can be provided for *in camera* review.

The Administrative Law Judge has a lot of discretion in this area of reconsideration before issuance of the Initial Decision. (*See Tractors and Farm Equipment, Ltd v. Waterman Steamship Corp.*, 25 F.M.C. 375, 377 (FMC 1982).

This document clearly shows that the only impediment to releasing of the subject container and the containers of others is the fact that CMA is trying to collect demurrage and other charges for keeping and not loading the containers at Constanta.

The above conduct is unreasonable, especially in light of the Commission's Interpretive Rule on Demurrage and Detention, which says: "Demurrage and detention are valuable charges when applied in ways that incentivize cargo interests to move cargo promptly from ports and marine terminals."

It is being submitted that it appears that the intended purpose of CMA's demurrage/detention/storage practices was revenue generation rather than promoting prompt movement of cargo.

It cannot be a coincidence that CMA withheld only those documents that go to the central issue of this case, namely the true purpose of CMA's demurrage/detention/storage practices. Furthermore, even though CMA admitted during the deposition that there were trainings at CMA with respect to demurrage/detention, they failed to provide any documents with respect to such, even though such was requested on January 26, 2024. (See Compl. Cx. 14).

Booking #NAM4996094, Container #UETU5251612

On March 3, 2022, MTL advised CMA to reroute the subject container to the Port of Bremerhaven. (Cx. 21).

On March 9, 2022, MTL sent a follow up. (Cx. 22)

On March 11, 2022, MTL sent another follow up. (Cx. 23)

On March 15, 2022, CMA finally responded and added their "diversions" team. (Cx. 24).

On March 25, 2022, MTL sent another request to CMA as to the change of destination and consignee. (Cx. 25).

On June 14, 2022, MTL notified CMA that the consignee has not been changed to date. (Cx. 26).

Just as CMA did not produce certain communications concerning demurrage charged concerning the Port of Constanta, they did not provide any documents concerning this container

as well for the demurrage/storage charges concerning the Port of Constanta or at any other transshipment port that this container may have gone through. During the deposition, CMA tried to avoid admitting that this and the other below containers ended up in the Port of Constanta, but I believe it is clear that CMA finally admitted to such (See Cx. 17 at page 9):

MTL does not have such documents as Mr. Kodryanka (the consignee on all of the subject shipments (Cx. 27B) and MTL's client (See MTL's affidavit at Cx. 27C) has not had contact with MTL since this happened. (Cx. 27), and there is no evidence that CMA has ever informed MTL or its customers why the containers were not immediately loaded in the Port of Constanta and idled there for months.

As a result of the foregoing, MTL lost the "Kodryanka" client with a list of transactions attached as Cx. 27A. (See also Cx. 27C). Incidentally, CIS Development testified that Kodryanka stopped working with them as well for approximately 6 months because of this:

Cx. 5, p. 14-15:

Q. With respect to the five containers that CIS hired MTL to deliver from New York to Odessa in early 2022, the containers were either Public Organization Kodryanka or Favorite Plus were the consignees. What happened to those five containers?

A. They stayed for a long time in Constanta. We actually had them to be delivered to Bremerhaven, but they were delivered to Constanta and then, eventually, they were probably received by the recipient. But for a very long time, they didn't work with us. For several months, they didn't work with us because of that, Kodryanka.

CMA did, however, provide demurrage charged for the time the subject containers were in Bremerhaven. CMA admitted that these charges should not have been issued as this was the fault of CMA. Specifically, CMA finally wrote on August 9, 2022: "Demurrage and Storage need to be cleared for the above BLs due to CCA error in COD and Doc completion..." (Cx. 28_CMA Bates #1145).

Irrespective of this email, MTL still has not received the invoices as the following email on August 10, 2022 demonstrates: “Still no invoices. I do not understand how you can hold the containers due to the unpaid balance for the demurrage and storage charges, but cannot give us the invoice where we will see the charges...” (Cx. 29_CMA Bates #967).

Booking #NAM4887650, Container #SEGU6471959

The same scenario unfolded for this booking and booking #NAM4887651, and NAM5020932 as noted below.

On March 3, 2022, MTL advised CMA to reroute the subject container to the Port of Bremerhaven. (Cx. 30).

On March 11, 2022, having received no response, MTL sent a follow up message. (Cx. 31)

On March 15, 2022, CMA finally responded: “adding in our diversions team.” (Cx. 32).

On April 5, 2022, CMA finally advised that the destination has been changed to Bremerhaven, but the change of destination has been completed on April 12, 2022. (Cx. 33 and 34).

On June 3, 2022, MTL notified CMA that they forgot to change the consignee. (Cx. 35).

Booking #NAM4887651, Container #UESU5180789

On March 3, 2022, MTL advised CMA to reroute the subject container to the Port of Bremerhaven. (Cx. 36).

As of June 20, 2022, this container was still not released. (Cx. 37).

Booking #NAM5020932, Container #TRLU7542206

On March 3, 2022, MTL advised CMA to reroute the subject container to the Port of Bremerhaven. (Cx. 38).

As of June 7, 2022, CMA still had not changed the consignee irrespective of MTL advising to change such. (Cx 39).

Booking #NAM3933751, Container #TCNU3475181

On June 19, 2020, CMA notified MTL: “Boats are restricted or sensitive as per EU regulation on Libya...” (Cx. 40 at p. 1).

MTL responded: “There are no boats in the container. We loaded 3 cars and a jet ski with the trailer (see attached picture).” *Id.* The title as to the jet ski is attached as Cx. 40A and Bill of Sale as Cx. 40B.

CMA responds: “Per Malta customs Jet skis fall under the same category for this.” Cx. 40 at p. 1. CMA never produced any documents from any Malta customs.

This was a false statement by CMA as other carriers, in the same time frame, were not only shipping jet skis to Libya, but also boats. (Cx. 41).

On August 7, 2020, CMA wrote to MTL: “Hi Julia, understand it was in-gated a week prior to the notification, but that still does not change the fact that EU regulations prohibited this container from moving to Libya.” (Cx. 42, CMA Bates #945).

Here, we see that CMA intended and was able to ship this container on time as the container was in gated.

On September 8, 2020, MTL wrote to CMA: “Hello Andre, container is arriving this week and issue has not been resolved yet. You promised to send Alla email on Friday but she didn’t receive anything from you. MTL will not be responsible for any storage/demurrage charges at destination cause CMA had enough time to fix this issue, thanks.”

Of course, the issue has not been resolved because CMA delayed such for the purpose of issuing charges for detention/demurrage, which they did a few weeks later. (Revised Invoice attached as Cx. 44)

CMA did not provide any documents in connection with this dispute. We know that such documents exist as, for example, CMA's Andre Ristic wrote on July 29, 2020: "This is currently under review of executive management." (Cx. 45). Similarly, CMA's Container Incident Management Team responded: "I pushed to try and get all costs waived and had the matter reviewed by upper management." (Cx. 46). CMA provided zero documents concerning these communications by upper management.

CMA did not inform MTL that demurrage would continue to accumulate while the dispute was pending.

As a result of the foregoing, MTL suffered lost business from its client (ALMOTWASIT FOR SELLING AND PURCHASING OF AUTOMOBILES) who stopped working with MTL as a result of this. (Cx. 27C, Cx. 47 and Cx. 48).

CMA's response to CPFF #50 is that they conducted a diligent search and could not locate any documents from Malta customs as to the statement that CMA made: "Per Malta customs Jet skis fall under the same category for this."

Of course they could not find any documents because this is not a truthful statement as shown in Complainant's response to CMA's Proposed Finding of Fact #70. (See Docket Entry#60).

Booking #4588370 (Allegations #34-36)

CAM's Proposed Findings of Fact (See Docket Entry #58) do not contain any proposed facts with respect to these allegations, and CMA did not produce any documents concerning

these allegations; therefore, it is respectfully being requested that allegations #34-36 in the Verified Amended Complaint be accepted as proof of such. Additionally, see Compl. Cx. 51 that proves that CMA mistakenly rolled another container and continued to pursue demurrage charges.

MTL explained to CMA: “This container has been rolled due to allegedly missed documentation, which both the shipping instructions and validated titles have been submitted.”

Booking #NAM5194626 (Allegations 37-40)

Compl. Cx. 52 is another example where CMA’s demurrage policy or practice was not designed to promote efficient movement of cargo. Even though MTL presented CMA with all proof that the container should not be rolled, it took CMA approximately 10 months to cancel the demurrage charges and never advised MTL that demurrage would continue to accumulate during the pendency of the disputes with respect to such.

DAMAGES

In *In re Marketxt Holdings Corp.*, the Court noted: “However, an owner or officer of a business may provide lay opinion testimony as to its value or lost profits only if the testimony is limited to those opinions derived from the witnesses’ personal knowledge of the business and simple calculation of lost profits by comparison with its historical results. For example, in *Securitron Magnalock Corp. v. Schnabolk*, 65 F.3d 256, 265 (2d Cir. 1995), the Second Circuit held that the testimony of a company’s president could be admitted as lay opinion regarding ‘the company’s sales over a period of years...’ Case No. 04-12078(ALG), at 5 (Bankr. S.D.N.Y. Jan.7, 2011).

Likewise, in *Wathne Imports, Ltd. V. PRL USA, Inc.*, it was noted that: “Courts have permitted the owner or officer of a business to testify as to lost profits (*see Lightning Lube v. Witco Corp.*, 4 F3d 1153 [3d Cir 1993]). In *Lightning Lube*, the court held there was no abuse of

discretion in permitting the plaintiff's owner to testify as to plaintiff's lost profits based upon his day-to-day knowledge and experience in his business; the court stated that he was 'qualified to predict how well Lighting Lube could have been expected to do.'" Index No. 603250/05, at 8 (N.Y. Sup.Ct. 2013).

MTL's affidavit (Compl. Ex_27(C)) authenticated the transaction histories of the two clients that MTL lost: Public Organization Kodryanka (Compl. Cx_27(A)) and Almotwasit (Compl. Cx_47)).

MTL testified on this point as follows:

(RX_2, at p. 127)

Q. Who was your customer?

A. My customer is Kodryanka and CIS.

(RX_2, at p. 239-240):

Q. Did MTL lose profits because of the containers that CMA stuck in Bremerhaven?

A. MTL lost customer and potential business.

Q. Okay.

A. I think – and I has nothing to do with the—with the tax returns and the federal taxes.

Q. Okay. What customer did MTL lose?

A. Kodryanka.

Q. Okay. Did Kodryanka ever provide money to CMA – I mean to MTL directly and not through CIS?

A. Kodryanka is the part, essential part of the CIS Development. Andrey Kodryanka stopped business with the MTL and he – he doesn't want to work with MTL. Then MTL essentially is losing that and it has nothing to do with my returns.

(RX_2, at p. 241-243)

Q. What is the basis for the amount of actual damages?

A. Very simple. The account what I lost – Kodryanka was very active and it was producing a lot of shipments so just in one year, it's \$82,000, and it was one—it was in '22 he stopped in May working with us. So you see for two years I'm not receiving no income because he doesn't work with me, just multiply, first of all.

Second of all, also, reputation is damaged badly. I received—that part of the business—I mean, Moldavia and Ukraine I lost a lot. I mean the general cargo I don't have no more.

I lost that part of the business, the general cargo going to Moldavia and to Ukraine. Everything that I have right now left is just for the commodity used vehicles—used vehicles.

So what I'm saying to you—that you see that my customers who are working with me and they start working with me. I grew them. I –my job is to grow together with my customers and do whatever is possible for them so they would get stronger and produce more. This is my job.

I have customers who are working with me for the past 15 years and they started just from one container and now they are loading 50 containers every month. So all this potential, all this business, I lost. Besides that, I also have a very bad name right now in Moldavia and Ukraine. Everybody is talking about those containers still.

If the Commission will choose to measure damages in terms of lost profits and not loss of operating revenues, the following is evidence of such.

Attached as Exhibit _55 (next in order from the previous submission of the opening brief) is a true and accurate copy of the transaction report concerning the transactions of the client that MTL lost (Public Organization of Kodryanka), containing income and expenses. When the expenses are subtracted from income, the total yields \$27,149. As to the subject containers where there is a loss due to CMA's conduct, the profit was computed without regard to the additional expenses caused by CMA.

Attached as Exhibit _56 is a true and accurate copy of the profit that MTL has made from its second client that it lost (Almotwasit): \$64,307.

MTL's certification as to these exhibits is attached as Exhibit _57.

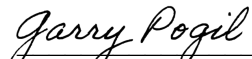
As argued in the opening brief, and as noted above, a higher multiple is warranted because there was no reason for either Kodryanka or Almotwasit not to have continued its business with MTL but for CMA's misconduct.

FMC 18-07 Proceeding

The Verified Amended Complaint is enclosed as Ex. 49, where the shipments that are the subject of that proceeding were not delivered to their final destination for over 6 months, and CMA sought astronomical detention/demurrage charges before releasing such. Some communication is attached collectively as Cx. 50.

Dated: January 8, 2025

Respectfully Submitted,



Garry Pogil (*Attorney for the Complainant*)